

Kenya MSME Digital Lending: Unit Economics Benchmarking and Investment Recommendation

Independent Research — Lisa Uwonkunda

Analysis anchored to December 2023, the most recent period with comparable, dated data across all players. Figures outside this window are dated in-line. 2025 developments are addressed separately in Section 4 and are not blended into the primary analysis.

Executive Summary

To deploy \$5 million into Kenya's MSME digital lending market with the most defensible risk-adjusted return, capital should be allocated to 4G Capital. Among Kenya's licensed digital credit providers (DCPs), effective annual percentage rates (APRs) span more than 100-fold, from roughly 24% to a disclosed maximum of 4,432%¹, despite every licensed player operating under identical CBK disclosure rules² and broadly comparable borrower segments. APR figures derived from lender app listings or aggregator pages are annualised for comparability and should be interpreted as derived estimates rather than audited disclosures (see Methodology). This dispersion separates lenders whose underwriting is grounded in verified business performance from those whose pricing power depended on the opacity that Kenya's 2022 regulatory reform was designed to eliminate. 4G Capital is the only DCP in this analysis combining a sub-sector-average default rate (5%, against a \$990.7 million disbursement base according to company reporting)³, a fully closed and diversified local-currency debt structure⁴, and an underwriting model structurally aligned with regulatory intent rather than reactive to it. The primary risk to this recommendation is operational scalability, addressed in Section 3.

1. A 100-Fold Pricing Spread Reveals Which Lenders Are Built for Regulation, Not Around It

Kenya's 2022 Digital Credit Provider (DCP) Regulations mandated APR disclosure across all licensed lenders for the first time.⁵ The resulting data reveals a pricing spread of more than 100-fold within a single regulated market, from an estimated 18–36% APR at bank-backed KCB M-Pesa (reported as a proxy benchmark for context, not as a like-for-like DCP comparison)⁶ to a disclosed maximum of 4,432% at Zenka Digital (derived; see Methodology).⁷ This spread maps directly onto underwriting methodology, with lenders using verified business data price low and default low and lenders using behavioral proxies or pursuing volume over selection price high and default high, or decline to disclose at all.

¹Zenka Loan Interest Rate & Processing Fee in Kenya, Saidia; Zenka Loan App Kenya, Google Play Store.

²Central Bank of Kenya, Press Release — Licensing of Digital Credit Providers (centralbank.go.ke, see e.g. March 27, 2023 release); Kenya Financial Sector Stability Report 2023, Central Bank of Kenya.

³Kenyan SME Lender 4G Capital Says 92% of Borrowers Repay on Time as Bad Loans Rise, Temitayo Jaiyeola, TechCabal.

⁴Morning Note, I&M Bank; Powerhive Partners with 4G Capital to Advance Electric Mobility Agenda, Mastercard Foundation. Citi and Dry Associates facility terms as reported in research brief; original facility documentation not included in submitted source list.

⁵Central Bank of Kenya, Press Release — Licensing of Digital Credit Providers (centralbank.go.ke, see e.g. March 27, 2023 release); The Central Bank of Kenya's Expanded Net Over Non-Deposit Taking Credit Providers, Cliffe Dekker Hofmeyr.

⁶Uniting Tech and Touch, Alexis Beggs Olsen, Center for Financial Inclusion; UPIA by 4G Capital, 4gcapital.com.

⁷Zenka Loan Interest Rate & Processing Fee in Kenya, Saidia; Zenka Loan App Kenya, Google Play Store.

Effective APR across Kenya's active digital lenders, December 2023 anchor (log scale)

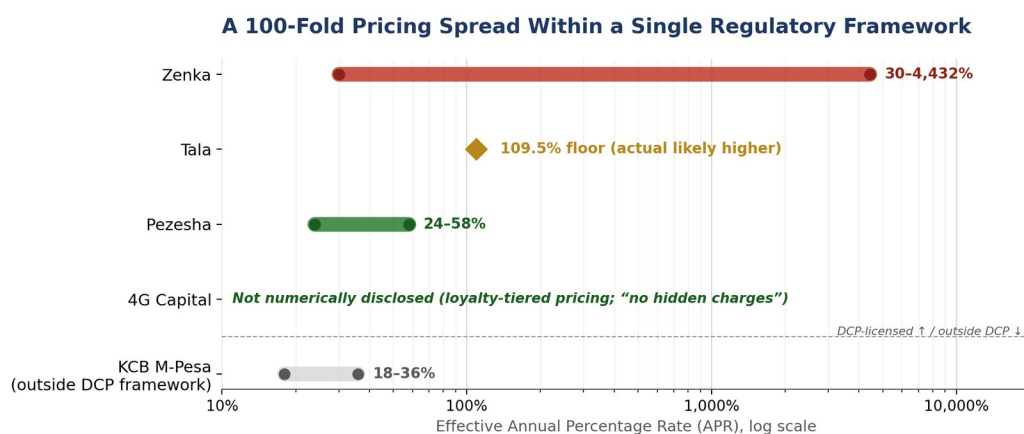


Figure 1. Effective APR ranges across Kenya's active digital lenders, log scale, December 2023 anchor. KCB M-Pesa shown for context only; not numerically disclosed for 4G Capital reflects its loyalty-tiered pricing model rather than a data gap.

KCB M-Pesa is included for context only, not as part of the headline DCP spread, as a bank product regulated under the Banking Act rather than the DCP framework (excluded under Reg. 2(a)). It is not a like-for-like peer.⁸ It is best read as the ceiling against which DCP-licensed players are measured.

Summary: Five Active Players, One Excluded Cautionary Case

Player	Tier	Avg APR	NPL / Default	Funding	Reg. Adapt.	Recommendation Signal
KCB M-Pesa	Tier 1	~18–36%	15.6% (proxy)	Bank deposits	5/5	Not comparable — bank product
4G Capital	Tier 2	Not disclosed	5%	Local debt	5/5	Recommended
Pezesha	Tier 2.5	~24–58%	4% (core)	Equity + grant	5/5	Strong, funding immature
Tala	Tier 3	≥109.5%	12.4%	VC equity	3/5	Survives, not advantaged
Zenka	Tier 4	30–4,432%	Undisclosed	Foreign parent	2/5	Avoid

Lipa Later (DCP #27) is excluded from the recommendation as it entered administration in 2025 and is treated separately as a cautionary case (Section 4).

The Regulatory Bar Was Set Deliberately High, and the Market Has Responded

As of December 2021, 4.6 million of Kenya's 15 million digital credit accounts were negatively listed with credit reference bureaus, and the FinAccess Survey 2021 found that 45.8% of borrowers either defaulted or paid late, with over 70% of those affected earning below KES 25,000 per month.⁹ The CBK's response was a deliberately high bar: only 10 of 288 initial applicants were licensed at the framework's September 2022 launch, rising to 32 licensed DCPs by March 2023, per the CBK's own licensing announcement.¹⁰ The bar is also reshaping demand. By 2023,

⁸Central Bank of Kenya, Press Release — Licensing of Digital Credit Providers (centralbank.go.ke, see e.g. March 27, 2023 release); The Central Bank of Kenya's Expanded Net Over Non-Deposit Taking Credit Providers, Cliffe Dekker Hofmeyr.

⁹English Text, David Kruijff and Alexander Sotiriou, CGAP / World Bank Open Knowledge Repository (FinAccess 2021 data on negatively listed accounts and default/late-payment rates).

¹⁰Central Bank of Kenya, Press Release — Licensing of Digital Credit Providers, March 27, 2023 (centralbank.go.ke/2023/03/27/licensing-of-digital-credit-providers-march-2023/), confirming the count of 32 licensed DCPs; Central Bank of Kenya, Directory of Digital Credit Providers, updated November 2023; The Central Bank of Kenya's Expanded Net Over Non-Deposit Taking Credit Providers, Cliffe Dekker Hofmeyr.

41% of Tala borrowers cited CBK licensing as a factor in choosing a digital lender, up from near-zero before 2022 (Tala MoneyMarch 2023)¹¹. Disclosure is becoming a market signal borrowers actively use, not merely a compliance formality imposed on providers.

For context, Kenya’s conventional banking sector carried a gross non-performing loan (NPL) ratio of 15.6% in December 2023, per the CBK’s Kenya Financial Sector Stability Report 2023¹², microfinance banks (MFBs) carried a gross NPL ratio of 32.9% (June 2023, AMFI Kenya proxy figure)¹³ and Safaricom’s Fuliza overdraft product, likewise outside the DCP framework, carried 8.2%.¹⁴ Licensed DCPs in this analysis range from below the banking-sector benchmark (4G Capital, Pezesha’s core book) to well above the MFB benchmark (Tala), showing that ‘licensed’ spans a wide quality range that should not be treated as homogeneous by capital allocators.

2. 4G Capital Leads on the Three Dimensions That Determine Defensibility Under Tightening Regulation

The case for 4G Capital rests on three mutually exclusive pillars: underwriting methodology, funding resilience, and regulatory trajectory.

Pillar	Core Distinction	4G Capital's Position
Pillar 1: Underwriting Methodology	Verified business performance data vs. behavioral phone-usage proxies	EVA model: field-verified stock turnover and sales data
Pillar 2: Funding Resilience	Closed, diversified local-currency debt vs. equity, VC, or foreign-parent capital	Multi-facility local debt (Citi, I&M Bank, Dry Associates, Untapped Global)
Pillar 3: Regulatory Trajectory	Models that strengthen vs. weaken as CBK oversight intensifies	Structurally pre-aligned with underwriting-conduct intent with a 5/5 adaptation score

Pillar 1: Underwriting Grounded in Verified Business Data Outperforms Behavioral Proxies

4G Capital’s “Touch-tech” model combines a digital lending platform with in-person field-officer verification. Its Enterprise Viability Assessment (EVA) underwriting is based on observable business data (stock turnover and daily sales, captured by field officers) rather than behavioral phone-usage proxies, aligning structurally with the intent of CBK’s underwriting-conduct regulations rather than merely complying with their letter.¹⁵ Pezesha shares this structural logic: its embedded-marketplace model uses partner transaction data, and its core book carries a 4% default rate.¹⁶ Tala and Zenka, by contrast, rely more heavily on behavioral and phone data signals, and both yield materially weaker outcomes. Tala’s loan book skews toward consumer and subsistence use despite an MSME-inclusion narrative,¹⁷ and Zenka’s underwriting scans borrowers’ M-Pesa SMS data, the exact practice CBK’s conduct regulations target (based on secondary reporting / public app-store disclosures).¹⁸

Pillar 2: Closed, Diversified Local Debt Outperforms Equity- and VC-Dependent Funding

¹¹Tala MoneyMarch 2023 Report, tala.co (cited in research brief; original report not included in submitted source list).
¹²Kenya Financial Sector Stability Report 2023, Central Bank of Kenya; Bank Supervision Annual Report 2023, Central Bank of Kenya.
¹³Kenya Financial Sector Stability Report 2023, Central Bank of Kenya; AMFI Kenya 2025 Microfinance Sector Report, Association of Microfinance Institutions (Kenya). Figure is the closest available proxy; not pinned to a single page reference.
¹⁴Kenya Financial Sector Stability Report 2023, Central Bank of Kenya; Bank Supervision Annual Report 2023, Central Bank of Kenya. Figure is the closest available proxy; not pinned to a single page reference.
¹⁵Uniting Tech and Touch, Alexis Beggs Olsen, Center for Financial Inclusion; UPIA by 4G Capital, 4gcapital.com.
¹⁶Digital Financial Ecosystem for Connecting MSMEs to Capital, pezesha.com; Pezesha 2024 Impact Report.
¹⁷How Does Tala Company Operate?, Business Model Canvas Templates; Tala Disbursement in Kenya Hits Sh300 Billion, Capital FM via allAfrica.com.
¹⁸Zenka Loan App Kenya, Google Play Store; Branch, Zenka Among 40 Loan Apps Accused of Personal Data Breaches, Nairobi Wire.

4G Capital's funding is local-currency debt diversified across multiple closed facilities: a \$3 million revolving facility with Citi Bank (US government-guaranteed), a KSh 500 million one-year facility with I&M Bank, a KSh 500 million corporate debt programme via Dry Associates Investment Bank, and a debt deal with Untapped Global closed in three months using API-based real-time monitoring.¹⁹ This eliminates the foreign-exchange risk and investor-return pressure that affects VC-funded peers such as Tala (\$145 million+ raised in VC equity)²⁰ and foreign-parent-owned Zenka (ownership based on secondary reporting / public app-store disclosures; verify against primary regulatory or company documentation where available).²¹ Pezesha's funding, by contrast, remains equity plus a \$500,000 DFC technical-assistance grant, explicitly positioned as groundwork for a possible future DFC debt investment, not yet a closed debt facility, and meaningfully less mature than 4G Capital's lender relationships.²²

Pillar 3: A Model That Strengthens, Not Weakens, as Oversight Intensifies

4G Capital's regulatory-adaptation score (5/5) reflects underwriting that was structurally aligned with CBK's conduct intent before that intent was codified into regulation, rather than a reactive compliance exercise.²³ This stands in direct contrast to Zenka, licensed only in March 2023 (the latest of any player here) after a CBK-forced write-off of KSh 166 million in past-due interest, confirmed November 23, 2022, and which then claimed "no significant changes" to its risk profile just 13 months later (based on secondary reporting / public app-store disclosures; verify against primary regulatory or company documentation where available).²⁴ Pezesha's current strength is also instructive here. Its default rate surged to 22% in mid-2022, coinciding closely with the DCP framework's rollout, before falling to 4% by 2024²⁵, evidence that Pezesha's current advantage was partly a forced response to regulatory pressure, not a pre-existing structural gift, and therefore less proven across a full cycle than 4G Capital's built-in alignment.

3. Field-Officer Dependency Is the Primary Risk to Scaling This Recommendation

The most significant risk to this recommendation is operational scalability. 4G Capital's Enterprise Viability Assessment underwriting model relies on field officers assessing real business data in person, a structurally sound but labor-intensive approach that may scale less efficiently than purely digital, phone-data-driven underwriting models such as Tala's. If 4G Capital's growth requires proportional growth in field staff, unit economics could compress as it expands into more competitive or lower-density markets.

- Mitigation: Track field-officer-to-loan-volume ratios as 4G Capital scales into new regions. A rising ratio would signal that the model is not scaling efficiently and would warrant revisiting the thesis.
- Secondary risk: Pezesha's funding immaturity could resolve quickly. A closed debt facility comparable to 4G Capital's would narrow the gap between the two and could justify reallocating a portion of capital toward Pezesha at that point.

4. 2025 Developments Confirm Rather Than Contradict the December 2023 Thesis

Developments noted here are a dated coda, kept separate from the December 2023 anchor to preserve analytical integrity. Tala reported a repayment rate above 95% by 2025 and laid off 28 staff in early 2025, citing reduced defaults and customer queries²⁶, an ambiguous signal that could reflect real underwriting improvement or a contraction toward a smaller, more creditworthy customer base after rate-sensitive borrowers were priced out by

¹⁹Morning Note, I&M Bank; Powerhive Partners with 4G Capital to Advance Electric Mobility Agenda, Mastercard Foundation. Citi and Dry Associates facility terms as reported in research brief; original facility documentation not included in submitted source list.

²⁰How Does Tala Company Operate?, Business Model Canvas Templates; Tala Disbursement in Kenya Hits Sh300 Billion, Capital FM via allAfrica.com.

²¹Sun Finance Acquires AS Zenka Group and Expands into Africa, publicnow.com; Aigars Kesenfelds, Wikipedia.

²²DFC-2024-PEZESHA/AFRICA — Pezesha Africa Limited TA, Early Warning System / U.S. International Development Finance Corporation; Annual Report 2024, DFC.

²³Uniting Tech and Touch, Alexis Beggs Olsen, Center for Financial Inclusion; UPIA by 4G Capital, 4gcapital.com.

²⁴Zenka Writes Off Ksh166 Million Defaulted Loans, Ndungu Brian, African Watch; Zenka Follows CBK Order, Writes Off Sh166m of Customers' Debt, The Star Kenya.

²⁵Pezesha 2024 Impact Report, Pezesha Africa Limited.

²⁶Tala Lays Off 28 Staff as Loan Defaults and Customer Queries Fall, Adonijah Ndege, TechCabal.

APR disclosure. Public data cannot distinguish between these explanations, and this memo does not pick the more flattering interpretation. Pezesha's 2024 experimental expansion into thinner-file borrower segments produced a portfolio-at-risk (PAR 30+) of 39–42%, roughly ten times its core book's rate²⁷. The core-book and experimental-segment figures refer to different borrower cohorts and should not be compared as identical portfolios, confirming that its strength lies in borrower selection within its core model, not underwriting resilience generally. Lipa Later entered administration (verified through primary filing and secondary reporting) in 2025, validating this analysis's original concern about VC-funded, consumer-facing models operating under DCP compliance pressure. Kenya's gross banking-sector NPL ratio reached a 20-year high of 17.6% by April 2025, up from 15.6% in December 2023 widening the gap between disciplined digital lenders such as 4G Capital and Pezesha's core book (both near 4–5%) and the conventional credit market.

Subsequent developments are consistent with this analysis's December 2023 assessment. The gap between disciplined, data-driven digital lenders and the conventional credit market widened rather than narrowed through 2025, and at least one VC-funded, consumer-facing competitor exited the market entirely.

Closing Synthesis

DCP licensing status is a necessary but insufficient signal for capital allocators. The CBK's framework has meaningfully raised the floor for Kenya's digital lending market while licensing only 10 of 288 initial applicants at launch, rising to 32 by March 2023, eliminating many of the actors responsible for the pre-2022 over-indebtedness crisis. But among the 32 providers that cleared that bar, outcomes for borrowers and investors alike still diverge by more than 100-fold in effective pricing and by a wide margin in default performance. Funding model discipline and underwriting methodology are what separate 4G Capital and Pezesha from Tala and Zenka and they should be weighted at least as heavily as growth metrics or loan volume when allocating capital into this sector.

Methodology (Data, Definitions, and Confidence)

This section documents the data conventions, definitions, and confidence labels used throughout the memo, so that figures can be interpreted with an accurate sense of their precision and provenance.

The December 2023 Anchor Date

December 2023 was selected as the primary analytical anchor because it is the most recent period for which dated, comparable data exists across all five active players and the CBK's own sector-wide benchmarks (the Kenya Financial Sector Stability Report 2023 and Bank Supervision Annual Report 2023). Figures dated outside this window are labelled in-line with their actual date rather than blended into the primary comparison. Developments from 2025, including Lipa Later's administration, Tala's reported repayment improvement, and the rise in the banking-sector NPL ratio, are treated separately in Section 4 as a dated coda rather than folded into the December 2023 cross-sectional comparison.

APR Annualisation Method

Where lenders disclose an effective APR directly (as required under the CBK's 2022 DCP disclosure rules), that figure is used as reported. Where a lender's pricing is only available as a flat fee, a daily or weekly rate, or a per-transaction charge on an app-store listing or loan-comparison aggregator (notably Zenka), that rate is annualised (compounded out to a 365-day effective annual percentage rate) for comparability with disclosed APRs. This annualisation is a standard convention for comparing short-tenor digital credit products, but it converts a non-APR-denominated price into an APR-equivalent estimate. These derived figures should be read as estimates that demonstrate relative pricing severity, not as audited disclosures equivalent to a lender's own regulatory filing. Derived APR figures are flagged in-line as “(derived; see Methodology)” at first mention.

Company-Reported Defaults vs. CBK Sector NPLs

This memo draws on two distinct categories of default and asset-quality data, and treats them differently:

²⁷Positive Friction: Better Borrower Understanding, Better Portfolio Outcomes, Colin Rice, Jayshree Venkatesan, and Rafe Mazer, Center for Financial Inclusion; Pezesha 2024 Impact Report. PAR figure is the closest available proxy from these sources; not pinned to a single page reference in the submitted source list.

²⁸Kenya's Loan Defaults Hit 20-Year High as Economic Woes Deepen, The Eastleigh Voice.

- **Company-reported metrics** (e.g., 4G Capital’s 5% default rate, Pezesha’s 4% core-book default rate) come from lender disclosures, lender-commissioned impact reports, or press coverage citing lender-supplied figures. These are not independently audited in the public sources reviewed for this memo and should be treated as lender-disclosed metrics unless corroborated by audited filings or CBK supervisory data.
- **CBK sector NPL ratios** (banking-sector 15.6% and MFB 32.9%) come from the CBK’s own regulatory reporting and are gross NPL ratios for those sectors as published in the Kenya Financial Sector Stability Report 2023 and related supervisory publications. They are not DCP-specific figures and are used in this memo only as macro-level reference points against which individual DCP default rates can be loosely benchmarked, not as a directly comparable like-for-like dataset. The MFB figure in particular is the closest available published proxy and is not pinned to a single page reference in the source material reviewed.

Because the two categories are measured differently, cross-category comparisons in this memo (for example, positioning 4G Capital’s default rate against the banking-sector NPL ratio) are directional and illustrative rather than statistically equivalent.

High / Medium / Low Confidence Labels

Three informal confidence tiers are used implicitly throughout this memo to characterise the reliability of underlying figures, summarised here for transparency:

- **High confidence:** figures published directly by the CBK (licensing counts, sector NPL ratios) or disclosed under mandatory APR disclosure rules.
- **Medium confidence:** company-reported figures (default rates, repayment rates, funding facility terms) reported in named, attributable secondary coverage (e.g., TechCabal, named impact reports) but not independently audited in the sources reviewed.
- **Low confidence:** figures derived from app-store listings, third-party loan aggregator pages, or unverified secondary reporting (e.g., Zenka’s APR figures, write-off history, ownership structure, and SMS-data underwriting claims). These should be verified against primary regulatory or company documentation where available before being relied upon for investment decisions.

These labels are not stated explicitly next to every figure in the body of the memo, but the in-line caveats added throughout (e.g., “company-reported,” “derived; see Methodology,” “based on secondary reporting”) map onto this framework and are intended to let a reader infer the appropriate confidence tier for any given claim without consulting this appendix directly.